

26STCV08263 26STCV08263

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Case Number: 26STCV08263 Hearing Date: August 4, 2026 Dept: 512

HEARING DATE: Weds., August 5, 2026 JUDGE /DEPT: Mkrtchyan/512

CASE NAME: He v. Citibank, N.A., et al. COMPL. FILED: 03-13-26

CASE NUMBER: 26STCV08263 FAC FILED: 04-10-26

NOTICE: OK

PROCEEDINGS: MOTION TO COMPEL ARBITRATION

MOVING PARTY: Defendants Citibank, N.A. and Miguel Valenzuela

RESP. PARTY: Plaintiff Ethan He

MOTION TO COMPEL ARBITRATION

(CCP §§ 1281, et seq; 9 U.S.C. § 2)

TENTATIVE RULING:

Defendants Citibank, N.A. and Miguel Valenzuela's Motion to Compel Arbitration is GRANTED.

The Court schedules Post-Arbitration Status Conference for February 8, 2026 at 8:30 a.m. in Department 512.

Moving parties are ordered to give notice.

SERVICE:

☒ Proof of Service Timely Filed (CRC, rule 3.1300) OK

☒ Correct Address (CCP §§ 1013, 1013a) OK

☒ 16/21 Court Days Lapsed (CCP §§ 12c, 1005(b)) OK

OPPOSITION: Filed on July 23, 2026 ☐ Late ☐ None

REPLY: Filed on July 29, 2026 ☐ Late ☐ None

ANALYSIS:

I. Background

On March 13, 2026, Plaintiff Ethan He ("Plaintiff") filed the instant action against Defendants Citibank, N.A. ("Citibank") and Miguel Valenzuela ("Valenzuela") ("Defendants") and Does 1-80, alleging eight causes of action arising from Plaintiff's employment with Defendants, which began in April 2020. (Compl., pp. 1-3.)

On April 10, 2026, Plaintiff filed a First Amended Complaint ("FAC") against Defendants and Does 1-80, alleging eight causes of action arising from Plaintiff's employment with Defendants.

On May 15, 2026, Defendants filed an Answer.

On June 18, 2026, Defendants filed the instant Motion to Compel Arbitration and to Stay Action (the "Motion").

On July 23, 2026, Plaintiff filed an Opposition and Evidentiary Objections to the Sadloski declaration filed in support of the Motion.

On July 29, 2026, Defendants filed a Reply and a Supplemental Declaration.

II. Evidentiary Objections

In conjunction with the Opposition, Plaintiff submits various objections to the declaration of Mark Sadloski filed in conjunction with the Motion. (Opp., Evid. Objections, pp. 1-53.)

The Court **OVERRULES** all objections to the Sadloski declaration as the Court finds the statements challenged contain sufficient personal knowledge and foundation and are relevant.

III. Legal Standard & Discussion

Defendants bring the instant Motion seeking to compel Plaintiff to submit to arbitration based on the arbitration clause ("Arbitration Agreement") included in Plaintiff's employment contract with Defendants. (Motion, pp. 10-16.)

A. Governing Law

Here, the Arbitration Agreement expressly states it is governed by the Federal Arbitration Act ("FAA"). (Motion, Sadloski Decl., Exh., B, ¶ 21.)

The Federal Arbitration Act, set forth at 9 USC, section 2, provides:

A written provision in any maritime transaction or a contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract or transaction, or the refusal to perform the whole or any part thereof, or an agreement in writing to submit to arbitration an existing controversy arising out of such a contract, transaction, or refusal, shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.

(9 U.S.C., § 2.)

Accordingly, under both the FAA and California Law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.)

Thus, the Court applies the FAA's procedural rules, and California law when appropriate and when not preempted by the FAA. (See e.g., Western Bagel Co. v. Superior Court (Calderon) (2021) 66 Cal.App.5th 649, 664-666.)

B. Arbitrability

In the Reply, Defendants assert for the first time that there is an express delegation clause in the parties' Agreement that delegates enforceability determinations to the arbitrator. (Reply, p. 5.)

While this argument is improperly raised for the first time in the Reply, the Court addresses this contention in an abundance of caution.

"In general, when a motion to compel arbitration is filed and accompanied by prima facie evidence of a written agreement to arbitrate the controversy, the trial court must determine whether a valid agreement exists and, if any defense is asserted, whether the agreement is enforceable. [Citation.] The trial court sits as a trier of fact, weighing the evidence submitted to reach a final determination. [Citation.]" (Wright v. WellQuest Elk Grove, LLC (2026) 119 Cal.App.5th 267, 274.)

However, parties can agree to arbitrate certain questions of arbitrability such as "whether the parties have agreed to arbitrate or whether their agreement covers a particular controversy." (Id., at pp. 274-275, citations and quotations omitted.) A delegation clause must be clear and unmistakable and must not be revocable under state contract defenses. (Id., at p. 274.)

Here, the Arbitration Agreement states, in pertinent part:

Except as otherwise provided by this Policy, the arbitrator shall interpret and apply these procedures as they relate to the arbitrator's powers and duties; all other procedures shall be interpreted and applied by the AAA or FINRA, as applicable. Except as otherwise expressly agreed upon, and except as otherwise provided by this Policy, any dispute as to the arbitrability of a particular claim made pursuant to this Policy shall be resolved in arbitration.

(Motion, Sadloski Decl., Exh., B, ¶ 27.)

The Court finds the Arbitration Agreement is “silent as to the issues of interpretation, enforceability, and unconscionability of the agreement.” (See Wright, *supra*, 119 Cal.App.5th at pp. 276-277.) While a link to the AAA rules is included in the Arbitration Agreement, the Court does not find this reference alone is enough under the circumstances to constitute a clear delegation clause. As such, the Court “cannot find that language reflects the parties’ clear and unmistakable intent to delegate all issues of arbitrability to the arbitrator.” (See *id.*, at p. 277.) Accordingly, the Court proceeds to address the existence of the Arbitration Agreement and defenses to its enforcement.

C. Existence of Arbitration Agreement

In deciding a motion to compel arbitration, trial courts must first decide whether an enforceable arbitration agreement exists between the parties, and then determine the second gateway issue of whether the claims are covered within the scope of the agreement. (See *Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (2000) 207 F.3d 1126, 1130 [“The court’s role under the [FAA] is therefore limited to determining (1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the agreement encompasses the dispute at issue”].)

“The burden of persuasion is always on the moving party to prove the existence of an arbitration agreement with the opposing party by a preponderance of the evidence.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.)

Defendants present an authenticated copy of the Agreement, which incorporates by reference the Arbitration Agreement, between the parties purportedly bearing Plaintiff’s signature and thus meets its initial burden. (Motion, Sadloski Decl., Exhs. A-B; see *Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 543-544 [The moving party “can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature”].)

The burden then shifts to Plaintiff as Plaintiff challenges the existence of the Arbitration Agreement by contesting the validity of Plaintiff’s signature. (*Gamboa*, *supra*, 72 Cal.App.5th at p. 165 [“If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement”].) Plaintiff submits a declaration by Plaintiff made under oath and disputes the Arbitration Agreement’s existence on the grounds that Plaintiff does not recall signing the agreement and/or never signed the agreement. (Opp., pp. 1-3, 7-10, He Decl., ¶¶ 7-16.)

The Court notes that there is a split of authority in California as to the legal effect of a plaintiff’s lack of recall of signing an agreement (see *Gamboa*, *supra*, 72 Cal.App.5th at p. 167; but see *Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 757-758; *Ramirez v. Golden Queen Mining Co. LLC* (2024) 102 Cal.App.5th 821); however, the Second District Court of Appeal has taken the approach that an employee’s lack of recollection in signing the agreement is enough to meet the employee’s burden to challenge the signature’s authenticity, regardless of whether the signature is electronic or handwritten. (See *Gamboa*, *supra*, 72 Cal.App.5th at p. 167.) As such, the Court finds Plaintiff’s lack of recollection in electronically signing the agreement, made under penalty of perjury, is enough to meet Plaintiff’s burden to challenge the signature’s authenticity. (See *id.*, at pp. 165, 167.) Further, Plaintiff also testifies that Plaintiff never signed and/or does not remember signing the Arbitration Agreement, which also suffices to challenge the authenticity of the Arbitration Agreement. (See *id.*, at p. 165.)

The burden shifts to Defendants to rebut the challenge by establishing by a preponderance of evidence that the agreement was valid. The Court finds Defendants have met their burden. Defendants have submitted admissible evidence of two declarations from Mark Sadloski, a Group Manager at Citibank that previously worked in Citibank’s HR Shared Services, who has personal knowledge of Citibank’s hiring and onboarding process and Citibank’s Workday online electronic software system; notably, Workday is Citibank’s human resources information system, “which houses information regarding Citibank applicants and employees, including but not limited to signed policies and agreements.” (See Motion, Sadloski Decl., ¶¶ 2-3;

Reply, Supp. Sadloski Decl., ¶¶ 1-3.) Further, Citibank “uses Workday to electronically send applicants documents to view and sign during the application process, and to employees at the commencement of their employment and during the course of their employment.” (Motion, Sadloski Decl., ¶ 4.) Sadloski describes that Citibank uses Workday as part of its onboarding process, and Workday requires employees, including Plaintiff, to create a unique login and password known only to the employee and is associated only with the employee’s unique email address. (See Motion, Sadloski Decl., ¶¶ 5-8, 10; Reply, Supp. Sadloski Decl., ¶¶ 6-7.) Sadloski attests that “Citibank cannot edit the policies and agreements once they have been signed by the prospective employee.” (Motion, Sadloski Decl., ¶ 8.) Once onboarding documents are signed, the employee signature is assigned an identifying code – for Plaintiff’s signature of the 2020 Agreement, Arbitration Policy, Citibank’s Principles of Employment by DocuSign, and Citibank’s 2017 U.S. Employee Handbook, the code assigned to Plaintiff is 10732A9AA6A148B. (Motion, Sadloski Decl., ¶¶ 11-15, Exhs. A-D; Reply, Supp. Sadloski Decl., ¶¶ 8-13, Exhs. A-E.) For Plaintiff’s signature of the 2022 revised Citibank U.S. Employee Handbook, “which acknowledged both his consent to abide by the handbook and the Employment Arbitration Policy attached as an appendix to the handbook,” the code assigned to Plaintiff is 915B39B268B74A0. (Motion, Sadloski Decl., ¶¶ 17-18, Exh. E; Reply, Supp. Sadloski Decl., ¶¶ 15-16, Exh. F.)

Plaintiff contends Defendants’ evidence is insufficient as Plaintiff’s signature differs from that on the onboarding documents; Plaintiff never met or worked with Mark Sadloski; Sadloski lacks personal knowledge of Plaintiff’s actions; and Citibank’s contentions are inconsistent with its own documentation of Plaintiff’s employment records. (Opp., pp. 5-10.)

The Court finds that Defendants have sufficiently demonstrated that Plaintiff’s electronic signature was the act of Plaintiff as Defendants adequately made “ ‘a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable.’ ” (Ruiz, supra, 232 Cal.App.4th at p. 843, citing Code. Civ. Proc., § 1633.9, subd. (a).) As such, the Court finds that Sadloski’s declarations are distinguishable from those found to be deficient, such as the declarations present in Ruiz.

In Ruiz, the appellate court affirmed the trial court’s denial of a motion to compel arbitration. (See Ruiz, supra, 232 Cal.App.4th 836.) In so holding, the appellate court determined that the defendant failed to meet its evidentiary burden to authenticate plaintiff’s signature as defendant’s supporting declarations merely included unsupported assertions that plaintiff was the person who electronically signed the arbitration agreement. (See Ruiz, supra, 232 Cal.App.4th at pp. 843-844.) By contrast, here, Sadloski’s declarations provide a detailed explanation of how Plaintiff’s electronic signature came to be placed on the Arbitration Agreement, including that Plaintiff’s electronic signature could only have been placed on the Arbitration Agreement by using Plaintiff’s unique login and password; that all Citibank employees were required to use their unique login and password when they logged into the Workday and signed onboarding forms and agreements; and the electronic signature on the 2020 Arbitration Agreement was therefore apparently made by Plaintiff. (See id., at p. 844; Motion, Sadloski Decl.; Reply, Supp. Sadloski Decl.)

Thus, the Court finds Defendants’ evidence adequately rebuts Plaintiff’s challenges and demonstrates the authenticity of Plaintiff’s signature on the Arbitration Agreement.

Finally, Plaintiff does not dispute that Plaintiff’s claims in the FAC are within the scope of the Arbitration Agreement.

Accordingly, the Court finds Defendants met their burden to prove the existence of a valid arbitration agreement by a preponderance of the evidence.

D. Enforceability – Unconscionability

“ ‘The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.’ [Citation] But they need not be present in the same degree. “Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.” . . . In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Armendariz v. Foundation Health Psychcare Services, Inc., (2000) 24 Cal.4th 83, 114 (“Armendariz”).)

Procedural Unconscionability

Plaintiff contends there is a high level of procedural unconscionability in this matter given that the Arbitration Agreement is an adhesion contract; Plaintiff was under pressure by Defendants to complete the paperwork; Defendants did not inform Plaintiff of the hyperlink to the AAA rules; Plaintiff was not presented with any documents other than his four-page offer letter; and the Offer Letter's "attachments" involve shocking and surprising terms, such as the Additional Terms Addendum. (Opp., pp. 10-13.)

In Reply, Defendants contend that Plaintiff failed to show the Agreement is adhesive; Plaintiff acknowledged the Agreement and Addendum as attachments to the Offer Letter, which was signed by Plaintiff on March 24, 2020; and Plaintiff received sufficient information regarding AAA rules and, moreover, Plaintiff does not challenge the AAA Rules or the Agreement's reliance on those rules. (Reply, pp. 5-7.)

" 'Procedural unconscionability' concerns the manner in which the contract was negotiated and the circumstances of the parties at that time. It focuses on factors of oppression and surprise. The oppression component arises from an inequality of bargaining power of the parties to the contract and an absence of real negotiation or a meaningful choice on the part of the weaker party. The component of surprise arises when the challenged terms are 'hidden in a prolix printed form drafted by the party seeking to enforce them.' " (Nyulassy v. Lockheed Martin Corp. (2004) 120 Cal.App.4th 1267, 1281.)

As to procedural unconscionability, the Court finds there is inequality in bargaining power between Plaintiff and Citibank given the nature of their roles that makes it likely that the Plaintiff felt at least some pressure to sign the Arbitration Agreement. (See Sanchez v. Western Pizza Enterprises, Inc. (2009) 172 Cal.App.4th 154, 174.)

Further, the instant Arbitration Agreement appears to be an adhesion contract; however, " 'the fact that the arbitration agreement is an adhesion contract does not render it automatically unenforceable.' " (Carlson v. Home Team Pest Defense Inc. (2015) 239 Cal.App.4th 619, 631.) An adhesion contract alone " 'establish[es] only a modest degree of procedural unconscionability.' " (Nguyen, supra, 4 Cal.App.5th at p. 248.)

Besides alleging inequality of bargaining power and an adhesion contract, the latter of which pertains to the oppressiveness of the Agreement (see Nyulassy, supra, 120 Cal.App.4th at p. 1281), the Court finds Plaintiff's other challenges to the Arbitration Agreement do not demonstrate any level, let alone a high level, of oppression or surprise.

The Court finds that Plaintiff's failure to read the Arbitration Agreement does not demonstrate a high level of procedurally unconscionability. (See Ramirez, supra, Cal.App.3d at p. 754; see also Iyer v. Wise Auto Group (2023) 87 Cal.App.5th 747, 759 ["It is hornbook law that failing to read an agreement before signing it does not prevent formation of a contract"].) Moreover, Plaintiff was required to act diligently before signing the Arbitration Agreement, and Defendants were not required to explain the Arbitration Agreement to Plaintiff. (See Rowland, supra, (1992) 4 Cal.App.4th at p. 286.)

As to Plaintiff's challenge to the Arbitration Agreement on the grounds that the AAA rules were not highlighted or included in the Arbitration Agreement, the Court finds "Plaintiff does not claim anything was hidden in the [AAA] rules. Rather, [Plaintiff] contests only matters related to the agreement itself. Therefore... the failure to attach the applicable [AAA] rules did not increase the procedural unconscionability of the... arbitration provision." (Nguyen, supra, 4 Cal.App.5th at p. 249.)

To the extent Plaintiff asserts he was externally pressured to sign the Arbitration Agreement, the Court finds Plaintiff's evidence refutes this assertion. Indeed, Plaintiff's declaration filed in support of the Opposition states Plaintiff received the onboarding documents in a link, and Plaintiff "was alone when [Plaintiff] opened the link." (Opp., He Decl., ¶ 5.) The Court finds these circumstances do not demonstrate pressure or time constraints for Plaintiff to sign the Arbitration Agreement. Insofar as Plaintiff states Plaintiff opened the link using his personal cell phone, which had a small screen, the Court is not persuaded that Plaintiff's apparent choice of using his phone to open the onboarding documents, including the Arbitration Agreement, demonstrates a high level of procedural unconscionability on behalf of Defendants. (Opp., He Decl., ¶ 5.) Indeed,

Plaintiff provides no evidence stating that Plaintiff was unable to access a larger screen to review the paperwork at the time the Arbitration Agreement was signed. Further, Plaintiff does not provide any evidence or argument that the Arbitration Agreement or Agreement was hard to read on the phone screen, the paragraphs were dense, or the referenced attachments were not provided, which distinguishes the instant circumstances from those found in the case law relied upon by Plaintiff in the Opposition – namely, *Hasty v. American Automobile Assn. etc.* (2023) 98 Cal.App.5th 1041, 1056-1058.

Notably, the Court also highlights that Plaintiff does not dispute that the Arbitration Agreement itself was clear and not difficult to read.

Finally, the Court finds Plaintiff's unsupported contention that the Additional Terms Addendum included with the Agreement demonstrates a high level of procedural unconscionability unpersuasive and insufficiently supported. (See Opp., pp. 12-13.)

Thus, the Court finds that the circumstances surrounding Plaintiff's signing of this Agreement and Arbitration Agreement contain a low, or at most moderate, level of procedural unconscionability.

The Court now proceeds to address whether the Arbitration Agreement is substantively unconscionable.

Substantive Unconscionability

In Opposition, Plaintiff contends the Arbitration Agreement is substantively unconscionable on the following grounds: (1) the Arbitration Agreement contains an impermissible representative and/or PAGA claim waiver; (2) the Arbitration Agreement requires waiver of administrative remedies; (3) the Agreement requires overly broad confidentiality of all employment-related arbitrations; (4) the Arbitration Agreement reserves a one-sided carve-out for Defendant to sue Plaintiff in court; (4) the Arbitration Agreement requires Plaintiff to agree in advance to broad and unlimited remedies to Citibank; (5) the Arbitration Agreement requires waiver of Citibank's need to show irreparable harm to obtain forms of judicial relief; (6) the Arbitration Agreement requires Plaintiff to pay arbitration-related expenses; (7) the Arbitration Agreement contains an illegal cost-shifting clause; and (8) the Arbitration Agreement does not recognize tolling of statutes of limitation that would otherwise be effective in court. (Opp., pp. 13-16.)

In Reply, Defendants contend that Plaintiff has not asserted any representative or PAGA claims; the confidentiality provision is not unconscionable and permitted by case law; "the Agreement is mutual, requires both parties to arbitrate any dispute, and the terms and conditions are mutually binding. Furthermore, the Agreement is not only mutual on its face, it also is mutual in application; meaning, it does not exempt claims from arbitration that Citibank is more likely to bring"; "Plaintiff's arguments about costs unique arbitration are misguided, given that the Agreement requires Citibank agreed to pay all arbitrator and arbitration fees"; and applicable law dismisses Plaintiff's contentions regarding the injunctive relief provision in the Arbitration Agreement. (Reply, pp. 7-9.)

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether the terms create "overly harsh" or "one-sided" results as to shock the conscience. (Armendariz, supra, 24 Cal.4th at p. 114.)

As to substantive unconscionability, the Court finds the Agreement only holds a low or at most moderate level of substantive unconscionability.

First, the Court finds Plaintiff's contentions regarding the expenses and fees provision of the Arbitration Award are unpersuasive and mischaracterized as this provision of the Arbitration Agreement provides that Citibank will pay for all fees and costs associated with arbitration with certain exceptions.

Next, the Court finds Plaintiff's challenge to the confidentiality provision in the Arbitration Agreement is insufficiently supported as to the specific circumstances in this action. Plaintiff's reliance on *Murrey v. Superior Court* (2023) 87

Cal.App.5th 1223, 1253-1254 appears inapt and is unpersuasive as there are many distinguishing characteristics between Murrey and the instant matter, including the terms of the respective confidentiality provisions and the causes of action at issue.

Further, the Court finds Plaintiff mischaracterizes the terms of the Agreement as it pertains to numerous of the remaining arguments, including the parties' ability to seek injunctive relief from a court of competent jurisdiction – contrary to Plaintiff's representations in the Opposition, the Arbitration Agreement states this ability is mutually permitted for both Plaintiff and Citibank. (See Motion, Sadloski Decl., Exh. B, p. 3.) Thus, the Court does not find these arguments demonstrate a high level of substantive unconscionability.

As to Plaintiff's contentions that the Arbitration Agreement contains an unconscionable waiver of administrative remedies, the Court agrees. (See Hasty, supra, 98 Cal.App.5th at pp. 1060-1061.)

As to Plaintiff's allegations regarding an impermissible representative waiver in the Arbitration Agreement, the parties do not dispute that there is not a representative or PAGA claim alleged in the FAC. (See FAC.; Opp.; Reply) The Court finds that in the instant case, an impermissible representative or PAGA waiver would be one of two surviving grounds for Plaintiff's assertion that the Arbitration Agreement is substantively unconscionable which could be severed from the Arbitration Agreement given that the Arbitration Agreement is not permeated with unconscionability. (See Subcontracting Concepts (CT), LLC v. De Melo (2019) 34 Cal.App.5th 201, 215; Viking River Cruises, Inc. v. Moriana (2022) 596 U.S. 639.)

Under the circumstances, the Court finds that, at most, the Arbitration Agreement contains a low or moderate level of substantive unconscionability.

"As with any contract, the unconscionability inquiry requires a court to examine the totality of the agreement's substantive terms as well as the circumstances of its formation to determine whether the overall bargain was unreasonably one-sided." (Sonic-Calabasas A, Inc. v. Moreno (2013) 57 Cal. App. 4th 1109, 1146.)

Based on the foregoing, the Motion is GRANTED.

IV. Conclusion & Order

Defendants Citibank, N.A. and Miguel Valenzuela's Motion to Compel Arbitration is GRANTED.

The Court schedules Post-Arbitration Status Conference for February 8, 2026 at 8:30 a.m. in Department 512.